The Nautilus PBM Project

Procurement, contracting, and management

EFFECTIVE JULY 29, 2026

OPERATOR	Nautilus Health Institute, a 501(c)(3) nonprofit organization
SCOPE	Open-source procurement standards, independent contract scoring, and public market transparency for employer pharmacy benefits
BUILT BY	A volunteer panel of 33 contributors: pharmacists, benefits advisors, attorneys, plan executives, and PBM veterans
ONLINE	nautilushealth.org/pbm · contractxray.com

The problem

Employers spend billions each year on pharmacy benefits. Most lack the tools to evaluate whether their contracts comply with the law and protect plan participants. PBM contracts run long, opaque by design, and carry provisions that create misaligned incentives.

An employer negotiating alone faces a structural disadvantage. No published standard defines what a good contract looks like, so there is nothing to benchmark against. Every employer starts from zero and the market stays as it is.

> *What's missing is not intelligence, effort, or expertise. It's coordination.*
>
> THE PREMISE OF THE NAUTILUS PBM PROJECT

What the project delivers

Three layers built to work together. The standards define what good looks like. The scoring platform measures a contract against them. The market reporting shows where the industry stands.

Standards and tools

FREE · OPEN SOURCE

- PBM Field Guide
- Model Contract Language, 28 provisions
- Evaluation Questions
- Data Specification
- RFI and RFP Configurator
- Executive FAQ and reference material

Contract X-Ray

SCORING PLATFORM

- Scores a contract against ten fiduciary-aligned provisions
- Returns a Fiduciary Alignment Score from 0 to 100
- Quick Look, free
- Full Assessment, by contribution
- Model language for every gap found

Market transparency

PUBLIC REPORTING

- CAA 2026 Readiness Report, quarterly, launching Q3 2026
- Data Sovereignty Index, the data-control standard
- Aggregate provision analytics across all contracts scored

Who uses it

ADVISORS

A defensible standard for client conversations, less time and cost in procurement, and a way to benchmark vendors and pricing models.

EMPLOYERS

A clear read on what the contract says, a negotiating position built on documented gaps, and evidence that supports board-level oversight.

ADVOCATES

Research, case studies, and employer-ready material supporting adoption of fiduciary-aligned PBM models.

How Contract X-Ray works

Delivered as a service. No software, no platform, no learning curve.

STEP 01

Submit

Upload the contract at contractxray.com with all schedules, exhibits, and amendments. If the PBM requires a non-disclosure agreement, Nautilus signs one electronically.

STEP 02

Analyze

The contract is scored against ten fiduciary-aligned provisions using calibrated scoring rules. Explicit language only.

STEP 03

Deliver

Reports arrive by email, ready to share with leadership, counsel, or a benefits committee.

THE TWO PRODUCTS

Quick Look

FREE

All ten provisions rated Good, Concern, or Red Flag, delivered as a PDF within one hour. Sponsored by the National Alliance of Healthcare Purchaser Coalitions.

Full Assessment

FOUNDING COHORT CONTRIBUTION, SCALED TO COVERED LIVES

Contract Scorecard with the Fiduciary Alignment Score and all ten provision scores, Negotiation Report with model language and talking points, Executive Brief, and Data Sovereignty Score.

The ten provisions

The same ten provisions, every contract. The standard is published, not proprietary.

Fiduciary Conduct

- P1 Fiduciary Loyalty Commitment
- P6 Conflict of Interest and Neutrality
- P8 Lowest Net Cost and Clinical Integrity

Financial Integrity

- P2 Pass-Through Pricing Integrity
- P3 Rebate and Manufacturer Revenue
- P10 Administrative Fee Transparency

Oversight and Control

- P4 Data Ownership and Rights
- P5 Audit Rights and Verification
- P7 Carve-Out and Vendor Rights
- P9 Termination and Clean Exit

HOW THE SCORE READS · 75 IS THE THRESHOLD CONSIDERED FIDUCIARY-ALIGNED

Red Flag	Concern	Fair	Good	Excellent
0 to 44	45 to 59	60 to 74	75 to 89	90 to 100

Independence and governance

> **Contract X-Ray scores contracts, not companies.** Every score reflects what a specific contract says. It does not reflect who the PBM is, how the PBM operates, or whether the PBM has any relationship with Nautilus.

Scoring credits explicit contract language only. Scores move only on confirmed contract text or methodology changes. The Governance Charter, Participation Agreement, and Advisor Acceptable Use Guidelines are published at legal.contractxray.com.

PROJECT LEAD

Steven Ditto
steve.ditto@nautilushealth.org

GET STARTED

contractxray.com
nautilushealth.org/pbm

About this document. Informational and educational purposes only. Not legal, financial, or professional advice. Consult qualified counsel before incorporating model language into a binding agreement.